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Board Minutes — 25 June 2025

Board Chair, Chief Executive Officer, Chief Risk Officer, Chief Financial Officer, and Non-Executive Directors

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Executive summary

The Board met on 25 June 2025 to review concentration risk positions that had triggered the material divergence thresholds established in the Five-Year Strategic Plan. Real estate exposure had reached 31.2% against a 25% internal guideline; digital lending non-performing loans had crossed 9% for the second time. The capital position remained comfortable at 16.4% CET1, 240 basis points above the internal floor. The Chief Executive Officer presented three strategic options for recalibrating the digital lending portfolio, recommending a pivot from unsecured consumer credit to secured SME digital lending and an adjustment of the FY28 digital revenue target from 18% to 16%. The Board approved the recommendation in principle, subject to external validation of revised cohort assumptions and quarterly reporting on concentration reduction.

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Quorum and Conflicts

The Board Chair confirmed quorum. Directors present included the Board Chair, Chief Executive Officer, Chief Risk Officer, Chief Financial Officer, and the full complement of Non-Executive Directors. No conflicts of interest were declared in relation to the matters on the agenda.

Performance Against the Five-Year Plan

Presented by Chief Executive Officer

The Chief Executive Officer reported that fifteen months into the Five-Year Strategic Plan, digital operational delivery had exceeded every target. Mobile transaction volumes were running at 2.4 times the FY24 baseline, digital channel uptime had been maintained at 99.6%, and cost-to-serve on retail customers had fallen 18%. Customer satisfaction scores on digital channels had reached parity with the best peer in the market. Branch traffic on routine transactions was down 31%, consistent with the strategy's channel migration assumptions.

The Board noted that the technology platform investment was producing the expected operational benefits. The operational success had not, however, translated to the anticipated credit performance in digital lending. The Chief Risk Officer reported that digital lending non-performing loans had crossed 9% in the current quarter, the second time this threshold had been breached. The original cohort model had anticipated steady-state NPLs of 6-7%; the Chief Risk Officer's current assessment was that steady state may settle in the 8-11% range.

One director asked whether the NPL deterioration reflected underwriting standards or cohort dynamics that were not understood at strategy approval. The Chief Risk Officer responded that the underwriting standards had been applied as designed; the issue was that the cohort behavior under stress had not been adequately modeled. The CEO acknowledged that this represented a strategic error in the original plan.

> “The cohort behavior under stress had not been adequately modeled. This represented a strategic error in the original plan.”

Concentration Risk Position

Presented by Chief Risk Officer

The Chief Risk Officer presented the concentration risk position. Real estate exposure had reached 31.2% of the loan book, against an internal guideline of 25%. This represented a 6.2 percentage point breach and a 25% overshoot of the guideline threshold. The concentration had built over multiple periods as a function of franchise strength in the corporate banking segment

and selective growth in the upcountry network. The Strategic Plan had identified real estate concentration drift as the most material structural risk and had assumed active management of the concentration trajectory.

Digital lending now represented 9% of risk-weighted assets, ahead of the trajectory anticipated in the original strategy. The combination of higher-than-expected NPLs and faster-than-planned book growth had triggered the material divergence definition established in the Strategic Plan: concentration breach of internal guidelines and more than 200 basis points off path on a strategic target.

The Board discussed whether the breaches constituted regulatory as well as internal threshold crossings. The Chief Risk Officer confirmed that both concentrations remained within regulatory limits, but that the internal guidelines existed to provide early warning before regulatory thresholds were approached. One director observed that the breach of internal guidelines fifteen months into a five-year plan suggested either that the guidelines were set too conservatively or that concentration management had not been sufficiently active. The Chief Executive Officer accepted the observation and noted that the capital allocation framework approved by the Board provided for discretion within ranges; the real estate concentration had drifted beyond those ranges without triggering a board session until now.

Capital Position and Allocation Framework

Presented by Chief Financial Officer

The Chief Financial Officer reported that the capital position remained comfortable. CET1 stood at 16.4%, providing 240 basis points of headroom above the 14% internal floor. Total capital ratio of 19.1% sat comfortably above the 15.5% regulatory minimum. The headroom had been preserved despite the concentration drift because risk-weighted assets had grown more slowly than the loan book due to mix shift.

The Board noted that the Strategic Capital Allocation Framework approved in the prior period reserved 100-150 basis points of CET1 headroom for opportunistic deployment. The Chief Financial Officer confirmed that the current 240 basis point cushion was consistent with that framework and that no near-term capital constraint existed. One director asked whether the concentration profile would affect the bank's credit rating or cost of wholesale funding. The Chief Financial Officer responded that the rating agencies had not expressed concern to date, but that a formal revision to published strategic targets would likely trigger rating agency inquiries.

The Board discussed whether increased provisioning for the digital lending book was required. The Chief Risk Officer reported that provisioning coverage had compressed to 68% from a 74% baseline. The Chief Financial Officer noted that increasing provisions would reduce reported earnings in FY26 and might conflict with guidance provided to investors. The Board directed management to bring forward a provisioning adequacy assessment at the next quarterly review,

with specific attention to whether current coverage was sufficient given the revised NPL expectations.

Strategic Options for Digital Lending Portfolio

Chief Executive Officer recommendation

The Chief Executive Officer presented three options for recalibrating the digital lending strategy in light of the revised cohort assumptions. Option 1: maintain the FY28 digital revenue target of 18%, accept higher near-term losses, and tighten underwriting immediately to bring cohort dynamics within tolerance. Option 2: reduce the FY28 digital revenue target to 14-15%, recalibrate to a more conservative trajectory, and redirect capital to other diversification levers. Option 3: pivot the digital lending product mix away from unsecured consumer credit toward secured SME digital lending, adjust the FY28 target to 16%, and manage the transition in the existing unsecured book without crystallizing larger near-term losses.

The Chief Executive Officer recommended Option 3. The recommendation rested on the judgment that the unsecured consumer digital lending thesis was a strategic error and that pivoting now was preferable to defending the original choice. The 16% target represented a compromise between the original 18% and the conservative 14%, signaling strategic commitment to digital transformation while acknowledging execution reality.

The Board discussed the recommendation at length. One director asked whether pivoting product mix fifteen months into the plan would be interpreted by investors as indecision or as responsive management. The Chief Executive Officer responded that the alternative — defending a failing strategy for the sake of consistency — would be worse. Another director observed that secured SME digital lending was less proven than unsecured consumer and asked whether the infrastructure existed to execute the pivot. The Chief Executive Officer acknowledged that SME digital lending would require investment in credit assessment capability and relationship management that did not exist in the unsecured consumer model, but that the operational platform was sufficiently flexible to support the pivot.

A third director asked whether an external review of the revised cohort model should be commissioned before committing to the strategic refresh. The Chief Risk Officer supported this suggestion, noting that external validation would provide independent assurance and would share accountability for assumptions that had proven incorrect in the original plan. The Board agreed that external review was prudent given the stakes.

> “The unsecured consumer digital lending thesis was a strategic error. Pivoting now is preferable to defending the original choice.”

Decisions Taken

The Board approved in principle the Chief Executive Officer's recommendation to pivot the digital lending product mix from unsecured consumer to secured SME digital lending and to adjust the FY28 digital revenue target from 18% to 16%. Formal approval is conditional on completion of an external review of the revised cohort assumptions and presentation of a detailed transition plan for the existing unsecured digital book. The external review is to be commissioned within 30 days and completed within 90 days.

The Board directed management to impose a quarterly reporting requirement on real estate concentration reduction, with a target trajectory to return to the 25% internal guideline within 18 months. New corporate facilities in real estate must clear hurdle rates that reflect the concentration loading. The Chief Risk Officer is to present the concentration reduction plan at the next quarterly board meeting.

The Board directed management to prepare an investor communication addressing the strategic refresh and the concentration risk position. The communication is to be reviewed by the Board before release and is to be issued within 30 days of completion of the external cohort review. The Chief Financial Officer is to engage with credit rating agencies in advance of the communication to manage expectations.

The Board directed management to bring forward a provisioning adequacy assessment at the Q4 board meeting, with specific attention to whether current coverage is sufficient given revised NPL expectations for the digital lending book.

Dissent Recorded

One Non-Executive Director registered partial dissent on the decision to lower the FY28 digital revenue target. The director's view was that fifteen months was too early in a five-year plan to revise published targets and that doing so would undermine the credibility of the bank's strategic commitments with investors. The director supported the product mix pivot but preferred that the 18% target be maintained, accepting higher near-term volatility. The Board noted the dissent; the majority view was that lowering the target to 16% represented honest recalibration and was preferable to defending an unachievable commitment.

Recommendations

1. Chief Risk Officer to commission external review of revised digital lending cohort assumptions within 30 days, with completion targeted within 90 days.

2. Chief Executive Officer to present detailed transition plan for existing unsecured digital book at next quarterly board meeting, addressing crystallization risk.

3. Chief Risk Officer to present real estate concentration reduction plan at Q4 board meeting, with 18-month trajectory to return to 25% guideline.

4. Chief Financial Officer to prepare investor communication on strategic refresh and concentration position, for board review before release within 30 days of external review completion.

5. Chief Financial Officer to engage credit rating agencies in advance of investor communication to manage expectations on strategic target revision.

6. Chief Risk Officer to present provisioning adequacy assessment at Q4 board meeting, addressing coverage sufficiency under revised NPL expectations.

7. Chief Financial Officer to report quarterly on capital headroom and allocation against Strategic Capital Allocation Framework, with specific tracking of concentration metrics.

8. Company Secretary to circulate signed minutes within 14 days for director review and approval at next scheduled board meeting.

Sources

No sources cited.